



10 août 2026

By email only: pennypengca@outlook.com

Garderie l'Univers De Cassiopée

Attn: Ms. Penny Peng
750 Payette Street
L'Assomption, Quebec
J5W 6G9

SUBJECT:	Policy Number:	166-5783
	Insured:	Garderie l'Univers De Cassiopée
	Complainant:	Ana Montesinos
	Our file number:	0036914762

Ms. Peng,

We hereby acknowledge receipt of the information provided by your broker, Assurances Bernier & Filles, on July 29, 2026, as well as the information you subsequently provided to us on August 3, 2026. This information included a copy of a notice of filing of complaints regarding dismissal without just and sufficient cause and psychological harassment (the "*Complaints*") with the Commission des normes, de l'équité, de la santé et de la sécurité du travail (the "*CNESST*"), dated December 17, 2025. The Complaints were filed by Ana Montesinos (the "*Complainant*") against la Garderie l'Univers De Cassiopée (the "*Daycare*").

We confirm that Intact Insurance is the Daycare's liability insurer under the terms and conditions of the *Nonprofit Organization Liability Insurance* policy issued under number 166-5783 (the "*Policy*").

The Complaints have been reviewed for coverage under your Policy. We are providing our position on this matter below. Please note that terms in bold refer to the definitions set forth in the Policy. This letter does not modify or replace the terms and conditions of the Policy.

Summary of the Facts

We summarize below the facts and allegations relevant to this matter. It is understood that this summary is provided for informational purposes only and does not constitute an admission or acknowledgment of the merits of the allegations made.

We understand that the Complainant was employed by the Daycare from August 1st, 2017, to September 25, 2025. Around December 17, 2025, the Daycare received a copy of a notice of complaints filed with the CNESST alleging dismissal without just and sufficient cause and psychological harassment. In January 2026, the Daycare entered mediation, but the matter was unfortunately not resolved. The Complainant's final monetary demand amounted to \$4,900, representing five weeks of lost wages, and \$7,900 for emotional and psychological distress.



Insurance Policy

Under the Policy, the applicable **insurance period** runs from April 1st, 2025, to April 1st, 2026, and is based on a **claim** first presented to the **insured** during the **insurance period**. The applicable coverage limit is \$2,000,000.00 per **insurance period** for **Wrongful Acts related to Employment Practices**, and a deductible of \$1,000.00 applies. The deductible will apply as soon as **Loss** become payable by Intact, whether through a settlement or a judgment. Note, however, that no deductible applies to **Defense Costs**.

Excerpts from the Policy

For your convenience, we have reproduced below the relevant excerpts from FORM 350.2-3 of your Policy:

FORM 350.2-3

PART 1 – INSURING AGREEMENTS

C – INSURED ORGANIZATION LIABILITY

*The Insurer agrees to pay on behalf of the **Insured Organization** all **Loss** for which the **Insured Organization** shall become legally obligated to pay on account of a **Claim** first made against them during the **Policy Period** because of a **Wrongful Act**.*

PART 4 – EXCLUSIONS

The Policy does not apply to:

[...]

6. BODILY INJURY AND PROPERTY DAMAGE

*A **Claim** for bodily injury, emotional distress, mental anguish, sickness, disease or death of any person or damage to or destruction of any tangible property including loss of use of such property.*

However, this exclusion shall not apply to:

- 27.1. ***Claims** for emotional distress or mental anguish, resulting directly from an **Employment Practice Wrongful Act**;*

[...]

7. CONTRACTS

*A **Claim** for any actual or alleged breach of any oral or written contract or agreement, or for liabilities of others assumed by the **Insured Organization** under such contract or agreement.*

However, this exclusion shall not apply to:

- 7.1 *the extent the **Insured Organization** would have been liable in the absence of such contract or agreement;*
- 7.2 *the liability assumed in accordance with the agreement or declaration of trust of the **Employee Benefit Plan**; or*
- 7.3 ***Defense costs**.*



PART 9 – DEFINITIONS

For the purposes of this insurance policy, the following terms shall have the meanings set forth below:

27. **Loss:**
- 27.2. *compensatory, punitive, exemplary or multiplied damages, judgments (including pre-judgment and post judgment interest) or settlement arising from a **Claim**, within the limits of the Insurer's liability;*
- 27.3. *civil fines or civil penalties assessed against an **Insured Person**, including Corruption of Foreign Public Officials Act, S.C. 1998, c. 34 Canadian Anti-Spam Act, S.C. 2010, c. 23 or any foreign equivalent;*
- 27.4. *all costs assessed against the **Insureds** in any civil action defended by the Insurer and any interest accruing after entry of all judgment upon that part of the judgment which is within the applicable Limit of Liability and before the Insurer has paid, offered to pay or deposited in court the part of the judgment that is within the applicable Limit of Liability;*
- 27.5. **Defense Costs.**

Loss shall not include:

- 27.5. [...]
- 27.6. [...]
- 27.7. *with respect to a **Claim** for an **Employment Practices Wrongful Act**, salaries, wages or commissions payable to a claimant for services performed for an **Insured Organization** while employed with the **Insured Organization**;*
- 27.8. *with respect to a **Claim** for an **Employment Practices Wrongful Act** against an **Outside Organization Executive**, salaries, wages or commissions payable to a claimant for services performed for an **Outside Organization** while employed with the **Outside Organization**;*
- 27.9. *cost of compliance with any order for, grant of or agreement to provide injunctive or non-monetary relief;*
- 27.10. *the salary, wages, commissions or **Benefits** of a claimant:*
- 27.10.1. *who has been or shall be hired, promoted or reinstated to employment;*
- 27.10.2. *whose employment has been or shall be continued;*
- 27.10.3. *whose salary or **Benefits** have been increased pursuant to a settlement, order or other resolution;*
- 27.10.4. *which constitutes a statutory mandated notice period with respect to an **Employment Practices Wrongful Act**;*
- 27.11. [...]
- 27.12. *matters uninsurable by law under which this Policy is construed.*

Coverage Analysis

The requirements of Insuring Agreement C – Insured Organization Liability set forth above, are met in this matter, since the Complaints constitute a **Claim** because of an **Employment Practices Wrongful Act**. Consequently, Insuring Agreement C is triggered. Under this coverage, Intact covers **Defense Costs** as well as the **Loss** arising from an **Employment practices wrongful act** that are not otherwise



excluded by the Policy, subject to the terms, conditions, limitations, and exclusions of the Policy and the reservations of rights described below.

Please note that wages, benefits, notice of termination, or severance pay in lieu of notice are not covered by your Policy. These are subject to Exclusion **7. Contracts** and are also subject to the limitations set forth in the definition of **Loss**. Other compensation that may be awarded in excess of the notice period and/or pay in lieu of notice is, for the most part, covered by your Policy.

The Complainant is also seeking moral damages as a result of alleged psychological harassment. Accordingly, please note that **Exclusion 6. Bodily Injury** provides that the Policy does not apply to any **Claim** for bodily injury, sickness, disease or death of any person. However, **Claims** for emotional distress or mental anguish are covered to the extent they arise from an **Employment Practices Wrongful Act**.

Conclusion

Based on our review of the documentation and information provided, and without prejudice to our rights under the Policy, we can inform you that Intact will assume the defense of the Daycare in this matter in accordance with Coverage C of the Policy. We have retained Amelie Pasquin of the firm a.l.i.a. Services Juridiques (amelie.pasquin@intact.net/438-869-5225) (Intact's litigation department) to handle the Daycare's defense in this matter. Ms. Pasquin will contact you shortly.

Please note that this letter is issued subject to all reservations and is based on the documents and information provided to date. It is subject to further evaluation should additional information be provided that warrants such a reassessment. Intact Insurance Company reserves all its rights under the Policy referenced in the subject line and under the law, including the right to analyze and investigate any additional information that may be made available to it, and to reconsider and revise its current position if necessary.

Please be advised that, pursuant to Article 2925 of the Civil Code of Quebec, your right to bring a claim against your insurer is subject to a three (3)-year statute of limitations beginning on the date the right of action arises.

We submit this for your consideration and remain at your disposal to discuss these matters further.

A handwritten signature in blue ink, appearing to read "Mona-Lisa Rossignol", with a stylized flourish at the end.

Mona-Lisa Rossignol, LL.M.

Commercial Property and Casualty Claims Adjustor
Senior Claims Advisor, E&O and D&O Specialty Lines
Intact Insurance

2020 Robert-Bourassa Blvd., Suite 100, Montreal (QC) H3A 2A5
mona-lisa.rossignol@intact.net